

Soitec

Now a photonics company - u/g to OW

Our historical caution on Soitec reflected limited conviction in the mobile growth story. But photonics is moving from a niche product to Soitec's largest revenue stream, this year on our estimates, driven by one of the fastest-growing semis end markets. We see a good entry point and upgrade to OW.

Photonics transforming the company. As we discuss in our report published today, [Tower Semiconductor Ltd: Agnostic exposure to optical scaling - Initiate at OW](#), we expect optical to be one of the fastest-growing semi end markets, with silicon photonics a major driver. Increasing optical engine complexity and larger die sizes should drive strong demand for Soitec's photonics SOI substrates, since Soitec's photonics SOI product is used in virtually all SiPho products. Thus Soitec is a key enabler of the transition. Photonics was c\$100m in FY26 and is set to nearly triple this year (Barc \$290m). We estimate it could be 50% of the business by FY30. Soitec effectively holds a monopolistic position today, but we see limited competitive risk over the next two years given the demanding uniformity specifications required by silicon photonics customers and the lengthy qualification process. This should support better than group average gross margins as pricing at least holds. Importantly, Soitec is largely architecture-agnostic. Its substrates are used across pluggables, NPO and CPO, allowing investors to gain exposure to optical networking growth without needing to predict the eventual winning architecture. We are reassured by recent company comments that customers have to provide inventory data ([Reuters](#), 31 August 2026) which should avoid the mistakes of the past as seen with the ongoing mobile inventory issues. Also Soitec's current capacity allows it to scale in a capex-light way which should improve returns.

Photonics drives all revenue growth. We do not expect mobile and auto to show any meaningful growth this year, but given strong photonics growth this is no longer necessary in our view. Mobile continues to underperform demand (in RF SOI) and so at some point is likely to see some modest recovery, with other products (POI etc) offsetting for now and potentially new RF SOI products being launched next year. We do not expect auto to see any major recovery. Edge and Cloud (including photonics) drive c90% of the revenue growth, modelled through to the end of the decade.

Valuation. We believe photonics is set to transform Soitec into a very different investment proposition. We increase our PT to €200 (was €110) and upgrade to OW. The recent sell-off and increasing importance of optics creates a compelling opportunity, in our view. We use a 20x

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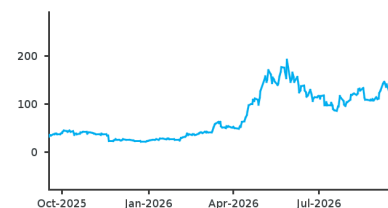
Please see analyst certifications and important disclosures beginning on page 14.

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SOIT.PA/SOI FP	OVERWEIGHT from Equal Weight
European Technology Hardware	NEUTRAL Unchanged
Price Target	EUR 200.00 raised 82% from EUR 110.00
Price (17-Sep-26)	EUR 141.70
Potential Upside/Downside	+41.1%
Source: Bloomberg, Barclays Research	

Market Cap (EUR mn)	5074
Shares Outstanding (mn)	35.81
Free Float (%)	69.58
52 Wk Avg Daily Volume (mn)	0.4
Dividend Yield (%)	N/A
Return on Equity TTM (%)	-15.06
Current BVPS (EUR)	37.10
Source: Bloomberg	

Price Performance	Exchange-PA
52 Week range	EUR 200.50-22.62



Source: LSEG Data & Analytics, Bloomberg
[Link to Barclays Live for interactive charting](#)

European Technology Hardware

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FY29 Mar EV/EBITDA multiple. This is a premium to Soitec's historical average (valuation has been volatile), but we see increasing exposure to AI infra-driven photonics as warranting a higher multiple due to higher quality growth and a larger structural TAM opportunity. We estimate a 3-year EBITDA CAGR of c25%. We sit LSD ahead of consensus revenues and 1-3pp ahead on GMs in 2027/2028.

SOIT.PA: Financial and Valuation Metrics EPS (EUR)

FY Mar	2025	2026	2027	2028	2029
EPS	2.56A	-3.23A	0.20E	2.93E	4.01E
Previous EPS	2.56A	-5.02A	-0.48E	1.35E	2.72E
Consensus EPS	2.56A	-6.17A	0.41E	3.26E	5.96E
P/E	55.4	N/A	N/A	48.4	35.3

Consensus numbers are from Bloomberg received on 17-Sep-2026; 12:50 GMT
Source: Barclays Research

European Technology Hardware

NEUTRAL

Soitec (SOIT.PA)

OVERWEIGHT

Income statement (€mn)	2026A	2027E	2028E	2029E	CAGR
Revenue	592	750	956	1,217	27.1%
EBITDA (adj)	151	187	299	369	34.8%
EBIT (adj)	-26	30	141	201	N/A
Pre-tax income (adj)	-56	14	124	180	N/A
Net income (adj)	-115	7	105	144	N/A
EPS (adj) (€)	-3.23	0.20	2.93	4.01	N/A
Diluted shares (k)	35,674	35,869	35,869	35,869	0.2%
DPS (€)	0.00	0.00	0.00	0.00	N/A
Margin and return data	2026A	2027E	2028E	2029E	Average
Gross margin (adj) (%)	16.3	24.0	33.3	35.0	27.1
EBITDA (adj) margin (%)	25.4	24.9	31.3	30.3	28.0
EBIT (adj) margin (%)	-4.3	4.0	14.8	16.5	7.7
Pre-tax (adj) margin (%)	-9.5	1.9	12.9	14.8	5.0
Net (adj) margin (%)	-19.4	1.0	11.0	11.8	1.1
ROCE (%)	-3.8	1.1	8.3	10.4	4.0
ROA (%)	-2.1	0.6	4.1	5.2	2.0
ROE (%)	-7.9	0.5	7.5	9.4	2.4
Cash flow and balance sheet (€mn)	2026A	2027E	2028E	2029E	CAGR
Change in working capital	49	57	-29	-40	N/A
Cash flow from operations	202	157	231	273	10.6%
Capital expenditure	-128	-118	-208	-204	N/A
Equity free cash flow	-129	502	-23	10	N/A
Change in cash	-126	502	-23	10	N/A
Tangible fixed assets	893	933	1,076	1,219	10.9%
Intangible fixed assets	94	90	89	93	-0.6%
Cash and equivalents	562	1,064	1,042	1,052	23.2%
Working capital	448	391	420	460	0.9%
Inventories	220	248	277	344	16.0%
Accounts receivable	280	288	308	338	6.4%
Accounts payable	53	75	96	152	42.4%
Total assets	2,282	2,809	2,983	3,241	12.4%
Short and long-term debt	620	1,150	1,189	1,235	25.8%
Total liabilities	955	1,467	1,526	1,629	19.5%
Shareholders' equity	1,327	1,342	1,457	1,612	6.7%
Valuation and return metrics	2026A	2027E	2028E	2029E	Average
P/E (adj) (x)	N/A	N/A	48.4	35.3	41.8
EV/sales (x)	9.1	7.3	5.8	4.6	6.7
EV/EBITDA (adj) (x)	35.9	29.2	18.5	15.2	24.7
EV/EBIT (adj) (x)	-209.8	183.1	39.2	28.0	10.1
P/FCF (x)	-39.1	10.1	-223.9	504.8	63.0
Equity FCF yield (%)	-2.6	9.9	-0.4	0.2	1.8
P/BV (x)	3.8	3.8	3.5	3.2	3.6
Dividend yield (%)	0.0	0.0	0.0	0.0	0.0

Note: FY End Mar

Source: Company data, Bloomberg, Barclays Research

Price (17-Sep-2026) **EUR 141.70**
Price Target **EUR 200.00**

Why OVERWEIGHT?

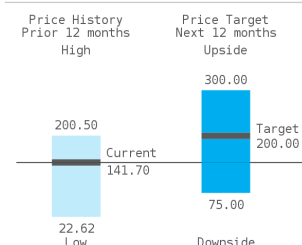
Our historical caution on Soitec reflected limited conviction in the mobile growth story. However, Photonics has emerged as the biggest growth driver for Soitec. We therefore see an important shift in Soitec's narrative from mobile to photonics, driven by accelerating demand for Photonics-SOI in AI datacentres and optical interconnect applications.

Upside case **EUR 300.00**

We value Soitec with a target 2029E March YE EV/EBITDA of 30x. We assume a faster adoption of photonics, faster-than-expected recovery in smartphones and assume Soitec returns to >€1bn of revenue much sooner.

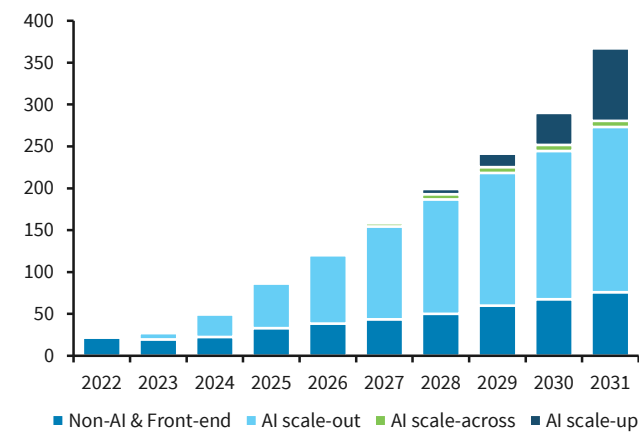
Downside case **EUR 75.00**

We value Soitec with a target 2029E March YE EV/EBITDA of 7x. We assume slower adoption of photonics, slower-than-expected smartphone recovery, a correction in auto volumes, and a geopolitical drag on the industry.

Upside/Downside scenarios

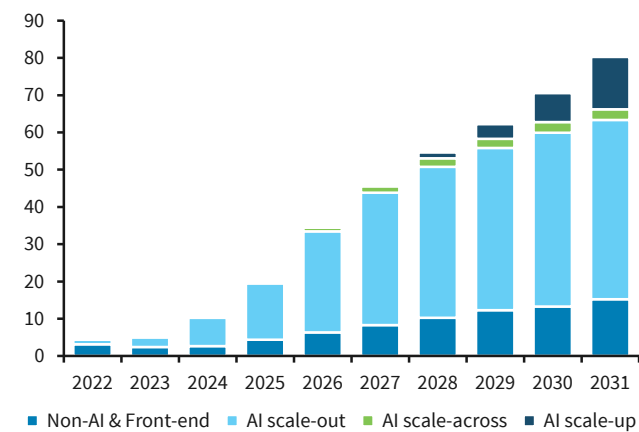
The Story in Charts

FIGURE 1. Ethernet market by application in units (m)



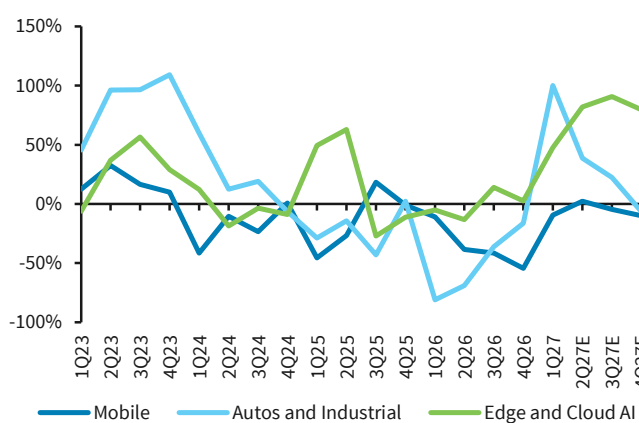
Only 100G and higher speed products
Source: LightCounting, Barclays Research

FIGURE 2. Ethernet market in sales (\$bn)



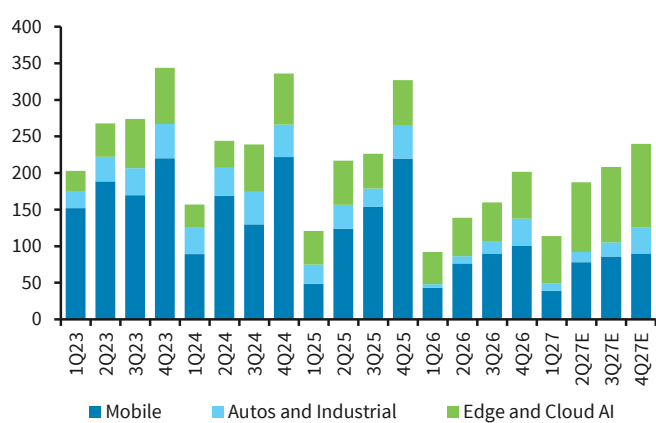
Only 100G and higher speed products
Source: LightCounting, Barclays Research

FIGURE 3. End market revenue growth (%)

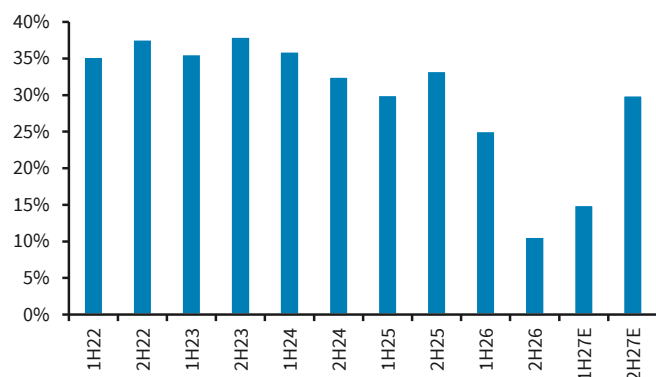


Source: Barclays Research estimates, company data

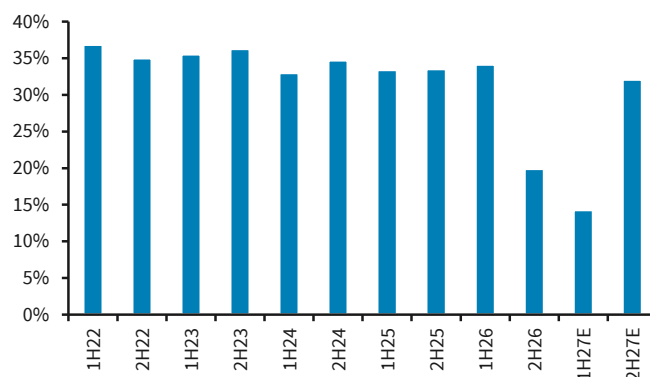
FIGURE 4. Revenue by end market (€m)



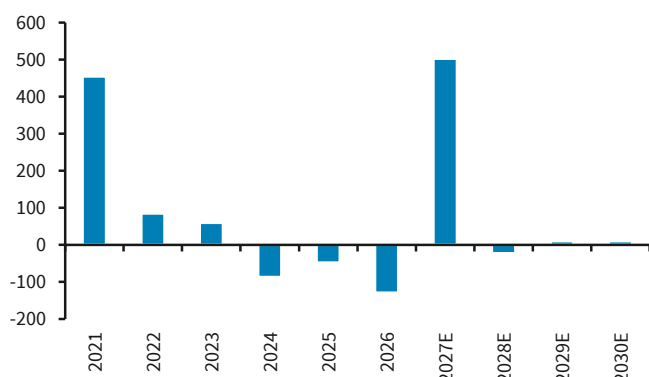
Source: Barclays Research estimates, company data

FIGURE 5. Gross margins (%)

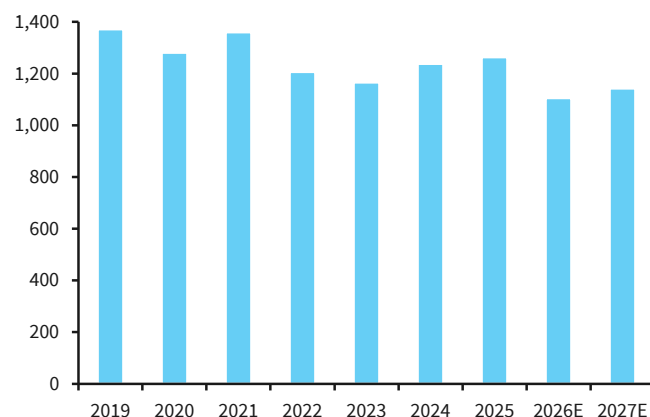
Source: Barclays Research estimates, company data

FIGURE 6. EBITDA margins (%)

Source: Barclays Research estimates, company data

FIGURE 7. Equity FCF (€m)

Source: Barclays Research estimates, company data

FIGURE 8. Smartphone unit forecasts (m)

Calendar years

Source: Barclays Research estimates, IDC

Photonics the new growth engine

Soitec's Photonics-SOI business has become the primary growth engine, driven by accelerating AI optical interconnect demand, qualified 300mm capacity and increasing capacity reservations. With silicon photonics at the heart of next-generation AI networking architectures, we see a credible path for the Photonics-SOI business to account for more than 50% of group revenue over the medium term.

Optical is one of the fastest-growing semi end markets

Given that LLMs continue to increase in size, and bandwidth is struggling to keep up, optics are set to be increasingly used in datacentres to connect racks together (scale out) and in time GPUs (scale up), in addition to continued growth in connecting datacentres (scale across). Thus optics, and in particular silicon photonics, are set to be one of the fastest-growing semi markets over the next five years.

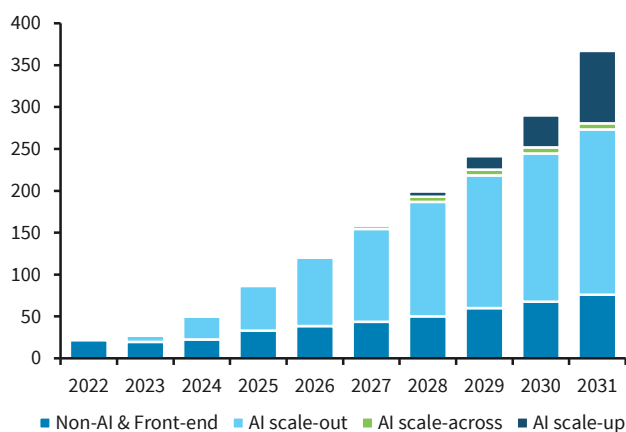
[LightCounting \(open in new tab\)](#) expects SiPho to become a mainstream optical-connectivity technology, with SiPho-based transceivers accounting for more than 50% of the approximately \$40bn global optical-transceiver market in 2026. At the component level, LightCounting

forecasts the optical-chip market across transceivers, AOCs, LPO, LRO, NPO and CPO to grow from approximately \$4bn in 2025 to \$15bn in 2031, implying a CAGR of c.25%. Within this market, LightCounting expects SiPho PIC revenue to increase from c.\$1.3bn in 2025 to c.\$6.3bn, or 42% in 2031, implying CAGR of c.30%. It does not expect the growth of SiPho to displace InP entirely, as SiPho solutions generally continue to require InP-based lasers and may also use InP optical amplifiers and high-performance modulators. LightCounting therefore expects InP chips to remain a significant part of the market, generating approximately \$6.9bn of revenue in 2031.

Beyond 2031, LightCounting expects optical connectivity to move progressively closer to processors, expanding from scale-out networks today into higher-bandwidth scale-up networks by the end of this decade and potentially scale-in chip-to-chip or chiplet-to-chiplet connectivity by the middle of the next decade. This broader shift from copper to optical interconnects explains why large CMOS foundries such as TSMC and Samsung are investing in SiPho. Their interest extends beyond the forecast \$6.3bn SiPho-chip market to the technology's potential role in the longer-term evolution of the broader semiconductor industry. LightCounting only assumes that 10-15% of all scale-up interconnects migrate to NPO/CPO by 2030-31 which could be conservative, in our view. If it is, then optical port per GPU could increase materially.

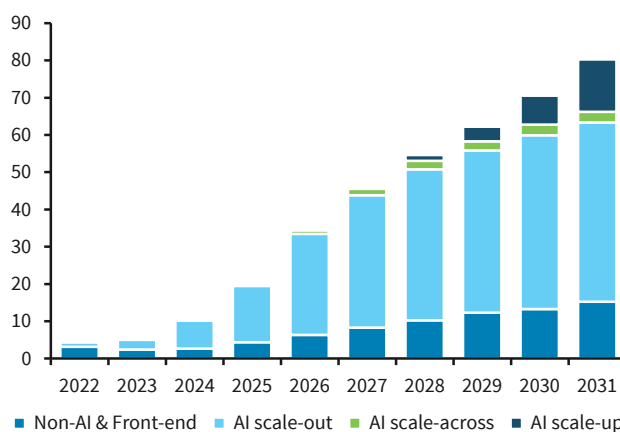
According to its July data, LightCounting expects total shipments for the Ethernet market (100G+) to grow from 25mn units in 2022 to 367mn in 2031, while it projects total sales to increase from \$4bn in 2022 to \$80bn in 2031. AI scale-out remains the largest segment, while AI scale-up expands fastest, with a 413%/198% yoy unit growth in 2027 and 2028, respectively. AI-related demand is estimated to be c79% of units in 2031, compared to c62% in 2025.

FIGURE 9. Ethernet market by application in units (m)



Only 100G and higher speed products
Source: LightCounting, Barclays Research

FIGURE 10. Ethernet market in sales (\$bn)



Only 100G and higher speed products
Source: LightCounting, Barclays Research

Rapid photonics evolution

The biggest highlight for Soitec this year has been the increasing visibility around its Photonics-SOI business:

- From FY26 results in May, management disclosed that Photonics-SOI revenue had exceeded US\$100m, reaching this milestone earlier than expected, and identified Photonics-SOI as a key growth pillar for the company.
- In July, Soitec believed it could more than double its photonics SOI in FY27 from the slightly above \$100m generated in FY26, underpinned by multi-year customer commitments.

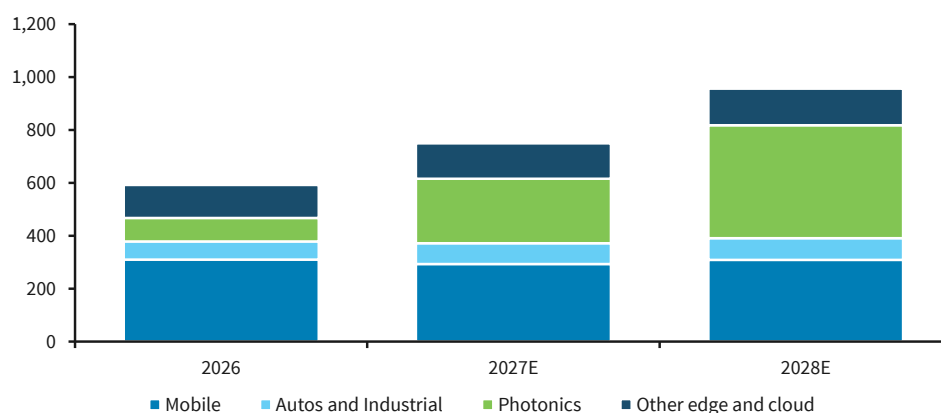
- In early September, Soitec raised its outlook again for FY2Q27, expecting ~50% yoy growth from the previously guided 30% yoy growth. Soitec expects Photonics-SOI revenue in FY2Q27 to be up 3x the FY2Q26 level of \$25m, and it expects FY27 revenue to be between 2.5-3x the FY26 level of slightly above \$100m.

In May, management stated that Photonics-SOI shipments were progressing with >10 active customers either already in production or currently undergoing qualification. In July, Soitec disclosed signed multiple multi-year capacity reservation agreements supported by customer cash deposits. Customer qualification at its Singapore fab is also a material positive as it significantly increases capacity on top of what is already available in France.

Photonics as the primary growth engine

Photonics has emerged as the biggest growth driver for Soitec, driven by accelerating demand for Photonics-SOI in AI datacentres and optical interconnect applications. In FY1Q27, we estimate Photonics accounts for c30% of Soitec total revenue, with Edge & Cloud AI as 57% of total revenue. We therefore see an important shift in Soitec's narrative from mobile to photonics, supported by an expanding customer base, qualified 300mm capacity, and multi-year reservation agreements. We model 175% & 75% Photonics yoy growth for FY2027 and FY2028, respectively.

FIGURE 11. Revenue by end market (€m)



Source: Barclays Research estimates, company data

Capacity levers

According to a recent article from [Reuters](#), Soitec has stated that it sees three levers to expand capacity before building a new fab: reallocating underutilized internal capacity, adding tools within existing cleanrooms, and equipping an existing building in Singapore. The CEO believes these three levers can provide sufficient capacity through at least FY28 and sees no need for a US fab for now while customer deposits and multi-year reservation agreements are providing unprecedented demand visibility. In our view, a US-based fab will likely eventually be needed.

From our wafer capacity model, Soitec produces 200mm SOI wafers in its Bernin I and Simgui wafer fabs, and 300mm SOI wafers in its Bernin II and Singapore fabs, covering its RF, imager, photonics and power SOI product lines. Its Bernin III fab produces 150-200mm POI wafers. When production begins, Bernin IV will produce smartSiC wafers and reallocate spare capacity for SOI including Photonics.

We show Soitec's capacity expansion plans below. We model Bernin I capacity reducing to 750k, reallocated to Bernin III as needed. We expect capacity at Bernin II to remain at 750k wpy. Singapore will expand to 1m wpy. There is the option to expand to a further 1m wpy in

Singapore with the building ready, but a clean room and equipment would be required. We model 700k being equipped, but this is dependent on customers' commitments. Overall, we estimate c4.5kwp by FY30, compared to c.3.4kwp in FY26.

FIGURE 12. Soitec wafer capacity model

Mar FY	2026	2027E	2028E	2029E	2030E
Wafer capacity (kwp)					
Bernin I	1000	850	750	750	750
Simgui	450	450	450	450	450
Bernin II	750	750	750	750	750
Singapore	800	875	1000	1000	1000
Bernin III	350	450	550	650	750
Singapore extension	0	0	200	450	700
Bernin IV	50	50	50	50	50
Hasselt	40	40	40	40	40
Total wafers	3440	3465	3790	4140	4490

Source: Barclays Research estimates, company data

Competitor status

Taking into account technical capabilities, available capacity, and ramp execution, we think Soitec is likely to remain the industry's primary and most dependable SOI wafer supplier at least through 2027–2028.

Shin-Etsu Chemical (not covered)

Shin-Etsu Chemical is a major SOI substrate supplier, leveraging decades of expertise in advanced wafer manufacturing and a leading position across the specialty wafer market. However, Shin-Etsu has not engaged in aggressive capacity expansion. It has, however, signed a number of high-margin orders. Industry checks suggest the company's 8-inch SOI capacity available for optical applications during 2026-27 is constrained to 50k-100k wafers annually, limiting its role as a niche supplemental supplier for now rather than a large-scale industry enabler.

GlobalWafers (not covered)

GlobalWafers continues to build its presence in the SOI market and has highlighted engineered substrates, including SOI, as an area of strategic focus in recent years. Per our checks, GlobalWafers has shipped customer samples for its 12-inch optical SOI wafers. However, commercialization remains at an early stage, with limited meaningful photonics revenue contribution to date. Product maturity and high-volume manufacturing remain under development ahead of broader adoption. In addition, the US fab continues to ramp and has not yet generated commercial photonics shipments.

Risks

The following are potential risks to our price target and OW rating.

Competition

Soitec dominates the RF SOI market but has seen competitors enter that license its technology, such as Global Wafers and Shin-Etsu. Currently we expect Soitec to be virtually the sole supplier for photonics SOI in 2027-28 before others potentially become qualified. If this qualification

were to happen sooner, there could be risk to our photonics SOI volume and/or ASP assumptions from market share losses or pressure on pricing.

Customer concentration

Photonics SOI is currently concentrated with a handful of customers, in our view. Soitec talks of >10 customers in qualification, indicating that demand will be diversifying in future, but for now existing customers could have an outsized effect on photonics SOI.

Over-ordering

Many of Soitec issues in the last couple of years have stemmed from customers over-ordering during the latter years of Covid on the belief that the smartphone market would stay strong, which was not the case. Photonics demand is growing rapidly and given perception of tight supply customers may likely be ordering more than they need to ensure supply; this creates the risk of history repeating itself. Per [Reuters](#) (31 August 2026), Soitec is mandating customers to share inventory data so that Soitec can better manage industry inventory and thus avoid any inventory overstocking. However, any fast-growing market there remains a risk that a customer or customers overshoot.

Optical architecture risk

Currently PIC dies manufactured on photonics SOI are growing in size as speeds increase. Efficiencies in designs could mean die size growth is more muted, which would temper wafer growth requirements. Similarly, if NPO/CPO were to be pushed out this could also delay growth as CPO in particular are big drivers of future TAM growth.

Utilisation risk

Soitec indicated fab utilisation will be 65% this FY (until March 2027), largely because mobile demand remains weak. Soitec is under-shipping demand significantly to bring inventory down. However, if the mobile end market remains under pressure (for memory cost reasons, for example), then destocking could take longer, which would delay a recovery in demand and therefore utilisation and gross margins. This is a risk but we think a manageable one, and if photonics demand continues to accelerate then further capacity could be reallocated from mobile to photonics.

Scenarios

Soitec has seen strong share price performance this year >500% YTD vs the SX8P at c20%. Thus there could be a wide range of outcomes for the shares from here. Our base case is that the shares rerate to 20x our FY29E EV/EBITDA as the photonics demand drives impressive growth. Below we discuss our bull and bear cases.

Bull case

In our bull case, we believe Soitec could rerate to a 30x March 2029E EV/EBITDA multiple. This scenario assumes faster-than-expected adoption of photonics SOI as AI data-centre investment drives demand for higher-speed optical connectivity. Soitec retains a leading market position through the qualification cycle, enabling strong volume growth, favourable product mix and resilient pricing before meaningful competition emerges.

We also assume a faster recovery in smartphones, supported by inventory normalisation, richer RF and/or POI content and a better replacement cycle. Higher mobile volumes would improve utilisation across Soitec's manufacturing footprint, driving operating leverage and a stronger recovery in gross margin in addition to photonics strength. This would allow revenue to surge to above €1.5bn materially earlier than in our base case. Better utilisation, product mix and pricing support stronger EBITDA growth, cash generation and the premium valuation multiple.

Bear case

In our bear case we value Soitec using a 7x target EV/EBITDA multiple on March 2029E earnings. This scenario assumes slower adoption of photonics SOI owing to delayed customer qualifications or changes in optical demand, reducing wafer demand relative to our base case.

We also assume the smartphone recovery remains muted, prolonging customer destocking and keeping factory utilisation below normal levels. A further correction in automotive production or general semiconductor inventories adds further pressure, while geopolitical or trade restrictions disrupt demand. Lower volumes, weaker pricing and adverse product mix constrain revenue and gross-margin recovery.

Forecasts and valuation

Changes to estimates

FIGURE 13. Summary of Soitec changes to estimates (€m, except per share)

€m, Mar FY	New			Old			% Change		
	2027E	2028E	2029E	2027E	2028E	2029E	2027E	2028E	2029E
Mobile communications	293	309	340	293	309	340	0%	0%	0%
Automotive and industrial	79	82	86	79	82	86	0%	0%	0%
Edge and Cloud AI	378	564	790	378	564	790	0%	0%	0%
Total Revenue	750	956	1,217	750	956	1,217	0%	0%	0%
Adjusted gross profit	180	318	426	180	318	426	0%	0%	0%
- Adjusted gross margin	24.0%	33.3%	35.0%	24.0%	33.3%	35.0%	0.0pp	0.0pp	0.0pp
Adjusted operating income	30	141	201	30	141	201	0%	0%	0%
Adjusted EBITDA (continuing operations)	187	299	369	187	299	369	0%	0%	0%
- % of revenue	24.9%	31.3%	30.3%	24.9%	31.3%	30.3%	0.0pp	0.0pp	0.0pp
Adjusted income before income tax	14	124	180	14	124	180	-	-	-
Adjusted net income (loss)	7	105	144	7	105	144	-	-	-
Adjusted net income margin %	1.0%	11.0%	11.8%	1.0%	11.0%	11.8%	0.0pp	0.0pp	0.0pp
EPS - diluted, reported	0.2	2.9	4.0	0.2	2.9	4.0	-	-	-
EPS - diluted, adjusted	0.2	2.9	4.0	0.2	2.9	4.0	-	-	-
Cash & equivalents at end of period	1,064	1,042	1,052	1,064	1,042	1,052	0%	0%	0%
Capex	118	208	204	118	208	204	0%	0%	0%
Free Cash Flow - Soitec definition	135	17	61	135	17	61	-	-	-

Source: Barclays Research estimates

Drivers

FIGURE 14. Summary of Soitec drivers

€m, Mar FY	2021	2022	2023	2024	2025	2026	2027E	2028E	2029E	2030E
Mobile communications	435	624	731	611	546	309	293	309	340	357
Automotive and industrial	51	74	141	163	129	69	79	82	86	91
Edge and Cloud AI	99	165	217	204	216	214	378	564	790	1,067
Total Revenue	584	863	1,089	978	891	592	750	956	1,217	1,514
<i>YoY growth</i>										
Mobile communications	-	44%	17%	-16%	-11%	-43%	-5%	5%	10%	5%
Automotive and industrial	-	47%	90%	16%	-21%	-47%	15%	4%	5%	5%
Edge and Cloud AI	-	67%	32%	-6%	6%	-1%	76%	49%	40%	35%
Total Revenue	-2%	48%	26%	-10%	-9%	-34%	27%	28%	27%	24%
<i>Mix</i>										
Mobile communications	74%	72%	67%	62%	61%	52%	39%	32%	28%	24%
Automotive and industrial	9%	9%	13%	17%	14%	12%	11%	9%	7%	6%
Edge and Cloud AI	17%	19%	20%	21%	24%	36%	50%	59%	65%	70%

Source: Barclays Research estimates, company data

P&L

FIGURE 15. Summary of Soitec P&L

€m, Mar FY	2021	2022	2023	2024	2025	2026	2027E	2028E	2029E	2030E
Mobile communications	435	624	731	611	546	309	293	309	340	357
Automotive and industrial	51	74	141	163	129	69	79	82	86	91
Edge and Cloud AI	99	165	217	204	216	214	378	564	790	1,067
Total Revenue	584	863	1,089	978	891	592	750	956	1,217	1,514
Cost of sales	-400	-547	-686	-646	-605	-496	-570	-638	-791	-954
Adjusted cost of sales	-400	-547	-686	-646	-605	-496	-570	-638	-791	-954
Gross profit	183	316	402	332	286	96	180	318	426	560
Adjusted gross profit	183	316	402	332	286	96	180	318	426	560
Sales and marketing	-12	-15	-16	-63	-65	-59	0	0	0	0
General and administrative	-37	-49	-55	0	0	0	0	0	0	0
Net Research & development	-44	-57	-64	-61	-85	-45	-75	-91	-122	-151
Operating income	90	205	268	205	119	-131	30	141	201	280
Adjusted operating income	90	205	268	205	119	-26	30	141	201	280
EBITDA	150	285	373	331	260	7	164	274	343	431
Adjusted EBITDA (continuing operations)	179	309	391	332	298	151	187	299	369	458
Net financial income/ (expense)	-15	-1	-10	-5	-9	-31	-15	-18	-21	-24
Adjusted income before income tax	76	204	258	201	110	-56	14	124	180	256
Adjusted income tax	-1	-2	-26	-23	-19	-61	-7	-19	-36	-51
Net income (loss)	73	202	233	178	92	-220	7	105	144	205
Adjusted net income (loss)	73	202	233	178	92	-115	7	105	144	205
EPS - basic, adjusted	2.19	5.98	6.63	5.00	2.57	-3.23	0.20	2.95	4.03	5.74
EPS - diluted, adjusted	2.16	5.63	6.26	4.73	2.56	-3.23	0.20	2.93	4.01	5.71
<i>Margins</i>										
Adjusted gross margin	31.4%	36.6%	37.0%	34.0%	32.1%	16.3%	24.0%	33.3%	35.0%	37.0%
Operating margin	15.5%	23.7%	24.6%	21.0%	13.4%	-22.1%	4.0%	14.8%	16.5%	18.5%
Adjusted operating income margin	15.5%	23.7%	24.6%	21.0%	13.4%	-4.3%	4.0%	14.8%	16.5%	18.5%
EBITDA margin	25.7%	33.1%	34.3%	33.8%	29.1%	1.3%	21.9%	28.7%	28.2%	28.4%
Adjusted EBITDA margin	30.7%	35.8%	35.9%	34.0%	33.5%	25.4%	24.9%	31.3%	30.3%	30.2%

Source: Barclays Research estimates, company data

Cash flow

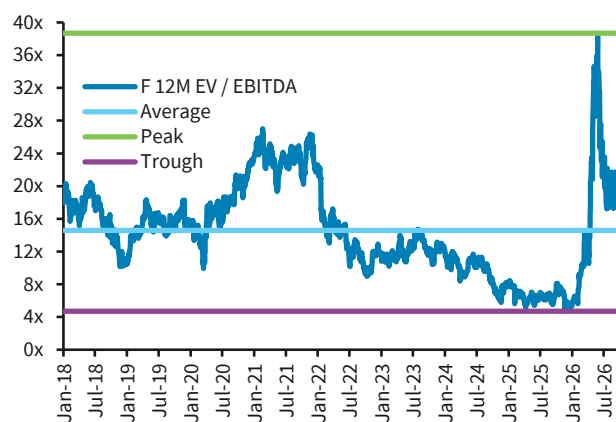
FIGURE 16. Summary of Soitec cash flow

€m, Mar FY	2021	2022	2023	2024	2025	2026	2027E	2028E	2029E	2030E
Consolidated net profit	73	202	233	178	92	-220	7	105	144	205
Depreciation and amortization	60	81	106	126	140	138	134	133	142	151
Financial income/(expense)	15	1	10	5	9	31	15	18	21	24
Share-based payments	20	20	14	14	11	-1	8	10	11	12
<i>Changes in working capital:</i>										
Inventories	-9	-31	-36	-19	-47	24	-28	-29	-67	-71
Trade receivables and related accounts	0	-48	-112	-94	-30	145	-8	-20	-30	-41
Trade payables and related accounts	7	15	40	-45	-6	-122	22	21	56	64
Income tax paid	-14	-2	-32	-25	-17	3	-12	-24	-41	-56
Cash flow from operations	174	254	262	165	201	202	157	231	273	339
Purchases of intangible assets	-24	-24	-42	-48	-27	-13	-13	-17	-22	-27
Purchases of property, plant and equipment	-109	-181	-186	-177	-172	-115	-105	-191	-182	-227
Net cash from investing	-133	-213	-228	-208	-176	-114	-118	-208	-204	-254
Interest received	0	0	0	0	0	0	11	11	11	11
Interest paid	-2	-4	-7	-12	-14	-16	-19	-21	-24	-27
Dividend Paid	0	0	0	0	0	0	0	0	0	0
Convertible bond issuances	321	0	0	0	0	-325	500	0	0	0
Financing flows related to discontinued operations	0	-2	0	0	0	0	0	0	0	0
Net cash from financing	412	36	20	-33	-50	-204	464	-46	-59	-75
FX gains / (losses) on cash	0	6	6	-3	4	-10	0	0	0	0
Net increase / (decrease) in cash	453	83	60	-80	-21	-126	502	-23	10	10
Cash & equivalents at end of period	644	728	788	708	688	562	1,064	1,042	1,052	1,062
Free Cash Flow - Soitec definition	25	40	-22	-54	8	71	135	17	61	73
Equity FCF	455	85	60	-87	-47	-129	502	-23	10	10

Source: Barclays Research estimates, company data

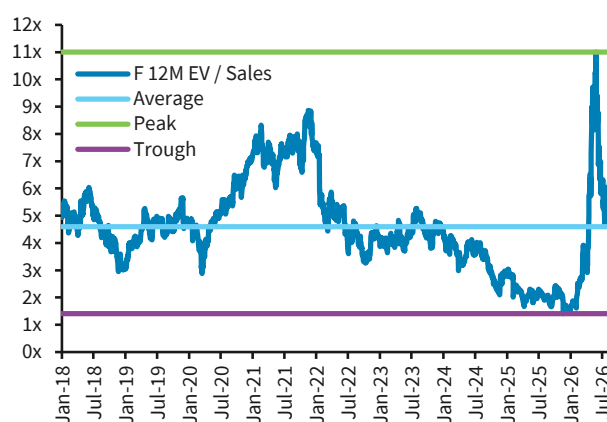
Historical Valuations

FIGURE 17. Forward 12M EV/EBITDA



Source: Bloomberg

FIGURE 18. Forward 12M EV/Sales



Source: Bloomberg

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Soitec (SOIT.PA, 17-Sep-2026, EUR 141.70), Overweight/Neutral, FA/J

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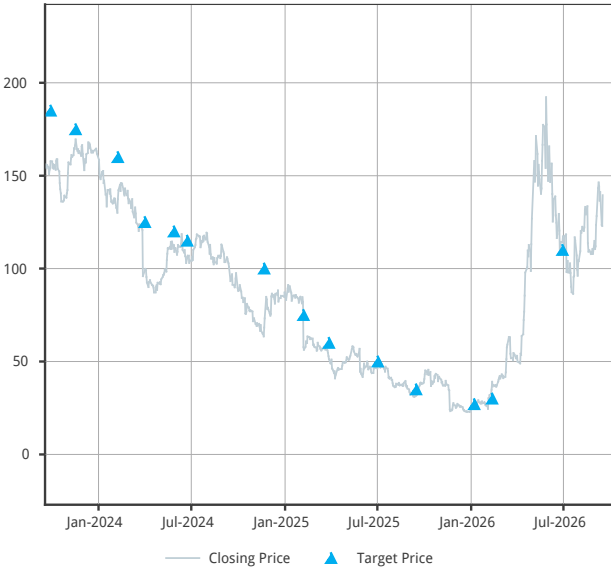
Soitec (SOI FP / SOIT.PA)

Stock Rating: **OVERWEIGHT**

Industry View: **NEUTRAL**

Closing Price: **EUR 141.70** (17-Sep-2026)

Rating and Price Target Chart (as of 17-Sep-2026)



Source: LSEG Data & Analytics, Bloomberg, Barclays Research

[Link to Barclays Live for interactive charting](#)

Publication Date	Closing Price*	Rating	Adjusted Price Target	Currency
29-Jun-2026	114.35		110.00	EUR
11-Feb-2026	39.10		30.00	EUR
07-Jan-2026	26.20		27.00	EUR
15-Sep-2025	31.62		35.00	EUR
02-Jul-2025	49.90		50.00	EUR
28-Mar-2025	52.85		60.00	EUR
06-Feb-2025	57.70		75.00	EUR
21-Nov-2024	68.25		100.00	EUR
23-Jun-2024	103.00		115.00	EUR
28-May-2024	112.60		120.00	EUR
01-Apr-2024	95.90		125.00	EUR
08-Feb-2024	137.35		160.00	EUR
17-Nov-2023	166.30		175.00	EUR
29-Sep-2023	153.10		185.00	EUR

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Valuation Methodology: We value Soitec with a target 2029E March YE EV/EBITDA of 20x, above its historical average to reflect the positive photonics opportunity even if we have nearer-term concerns on mobile.

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